

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

HALF YEAR ENDED 30 JUNE 2015

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2.0 Industry Overview

The report is centered on 14 standalone funds, 4 fund administrators, and 3 life assurers for the current review period. Players submitted their returns within the prescribed periods and those entities that failed to submit returns on time were penalized.

For the quarter ended 30 June 2015, self-administered funds realized contributions amounting to \$403million yet \$299million or 74% were in arrears (June 2014: \$215million or 64%). IPEC continues to engage key stakeholders in an effort to arrest the arrear contributions challenge.

Further, another major challenge was high expense ratios. The average expense to contribution ratio was 32%. In a bid to protect member interest; individual players have been summoned to justify their cost structures. The industry highlighted that the high expense ratios were gross of investment losses rather than pure administration expenditure.

The total asset base for the self-administered funds remained in the region of \$2bn from the last reporting period. However prescribed assets uptake rate grew to 3% partly due to supply side improvements in approved instruments. In line with Ministry Of Finance and Economic Development's directive, players are required to continue to up their prescribed assets to prescribed regulations by 30 December 2015. For an overview of the industry (See Table 1, below).

2.2 Financial Summary for Self-Administered Funds -30 June 2015

Item	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%	Jun-14	Jun-15	%
Arrear Contributions (\$000)	172,060	220,219	28%	31,727	39,849	26%	29,359	39,386	34%	233,146	299,454	28%
Total Contributions (Incl. Arrears) (\$000)	219,180	269,226	23%	57,073	64,871	14%	60,081	69,264	15%	336,334	403,361	20%
Total Contributions (Excl. Arrears) (\$000)	47,120	49,008	4%	25,346	25,022	-1%	30,722	29,878	-3%	103,188	103,908	1%
Total Income (\$000)	73,415	75,762	3%	28,455	26,184	-8%	54,171	49,867	-8%	156,041	151,813	-3%
Total Benefits	39,509	36,262	-8%	9,773	13,323	36%	17,772	22,513	27%	67,054	72,098	8%
Total Expenses (\$000)	8,717	9,768	12%	4,075	6,724	65%	18,630	16,385	-12%	31,422	32,877	5%
Net Income (\$000)	53,265	29,732	(44%)	14,607	6,137		17,769	10,969	-38%	85,641	46,838	-45%
(Expense/Contributions)%	18%	20%	-1	16%	27%	11%	61%	45%	-16%	30%	32%	2%
(Expense/Total Income)%	12%	13%	1%	14%	26%	12%	34%	27%	-7%	20%	22%	2%
Total Assets (\$000)	1,201,937	1,269,523	6%	294,035	330,085	12%	468,170	340,729	-27%	1,964,142	1,940,337	-1%
Prescribed Assets (\$000)	14,103	33,118	135%	2,010	10,368	416%	11,302	41,612	268%	27,415	85,098	210%
Prescribed Asset Ratio (%)	1%	3%	2%	1%	3%	2%	2%	12%	10%	1%	4%	3%



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self-Administered Pension Funds

This report is based on 14 standalone funds and the fund which failed to submit returns was fined (See Table 1, below).

Table 1: Standalone Self-Administered Pension Funds

Fund Name	June 2015
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
ZESA PF	1
GMB	1
Motor Ind	1
Specialised Business Machines	1
ZMDC P/F	*
Zimpapers	1
Unified Councils Pension Fund	1
TOTALS	14

***Returns not submitted**

4.0 Pension Fund Membership

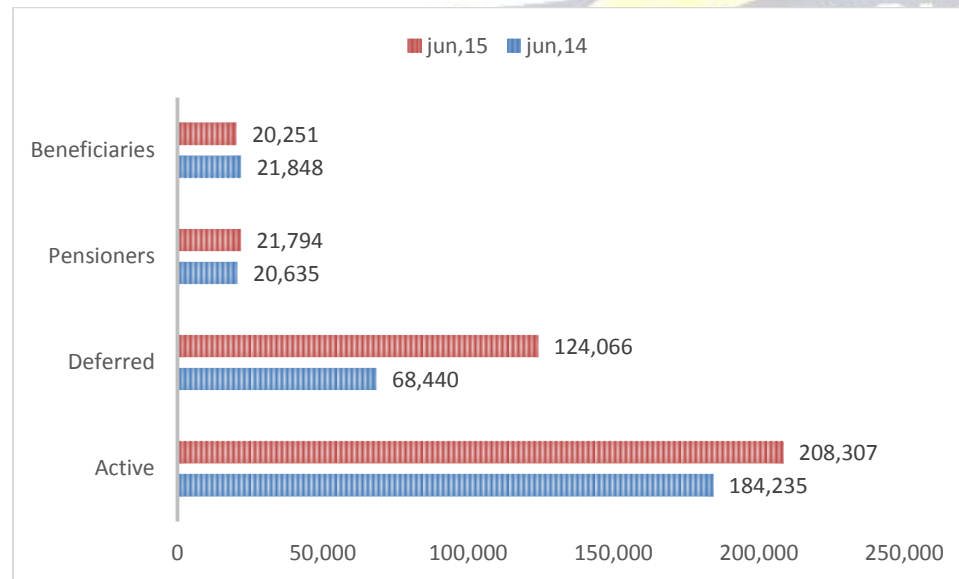
Fund membership was composed of 208 000 actives or 56 % (June 2014:184 000 or 62%), 124 000 or 33% -deferred members (June 2014:68 000 or 23%), 22000 or 6% being pensioners (June 2014:21000 or 7%) and 20000 or 5% were beneficiaries (June 2014: 22 000 or 7%). Exits declined by 9% from 3000 to 2900. Total fund membership increased to 371 000 from 295 000 reported in the same period last year. This increase could be attributed to the submission of returns by most of the funds during the period under review. (See Table 2 and Figure 1, below).

Table2: Membership per Stand-alone Fund for the half year ended 30 June 2015

Fund Name				Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Jun-14	Jun-15	Growth	Jun-15	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Catering IPF	*	14,381	0	*	52,257	0	*	0	0	*	158	0	-	0	0	-	66,796	0%
Clothing IPF	12,427	11,833	-5%	10,201	11,050	8%	-	0	0%	217	0	-100%	-429	-596	38%	22,845	22,883	0%
CAIPF	3,303	3,160	-4%	4,034	4,166	3%	1,352	1,520	12%	2,973	2,780	-6%	-70	-22	-68%	11,662	11,626	0%
CIPF	55,513	64,999	17%	5,709	5,843	2%	68	61	-10%	92	89	-3%	-678	-845	24%	61,382	70,992	16%
LAPF	20,315	18,924	-6%	-	0	0	4,264	4,936	15%	7,566	7,417	-1%	-169	-243	43%	32,145	31,277	-3%
MIPF	28,276	26,289	-7%	43,398	45,382	5%	7,691	8,435	10%	1,253	1,326	6%	-1,678	-896	-46%	80,618	81,432	1%
NRZ	6,748	6,397	-5%	1,884	2,014	7%	5,664	5,007	-1%	8,628	7,429	-13%	-139	-104	-25%	22,924	20,847	-9%
ZB FHGPF	1,961	1,337	-32%	1,691	1,728	2%	291	729	150%	351	344	-2%	-18	-9	-50%	4,294	4,138	-4%
ZESA PF	6,714	6,605	-2%	-	0	0%	240	465	93%	125	177	41%	-	0	0%	7,079	7,247	2%
GMB	2,036	1,952	-4%	694	686	-1%	27	27	0%	-	0	0%	-18	-40	122%	2,757	2,665	-3%
Motor Ind	45,773	46,306	1%	0	0	0%	492	119	-75%	50	28	-44%	-	0	0%	46,315	46,453	0%
SBM	*	5	0%	0	1	0%	-	0	0%	-	0	0%	-	0	0%	*	6	0%
ZMDC P/F	184	*	0%	0	*	0%	62	*	0%	79	*	0%	-4	*	0%	325	0	-100%
Zimpapers	981	870	-11%	829	842	1%	484	495	2%	514	501	-2%	-7	-7	0%	2,808	2,708	-4%
Unified Councils	*	5,249	0%	*	97	0%	*	0	0%	*	2	0%	*	-156	0%	*	5,348	0%
Totals	184,235	208,307	13%	68,440	124,066	81%	20,635	21,794	5%	21,848	20,251	-7%	-3210	-2,915	-19%	295,154	374,418	27%

***Returns not submitted**

Figure 1: Membership for Stand-alone Funds for the half year ended 30 June 2015



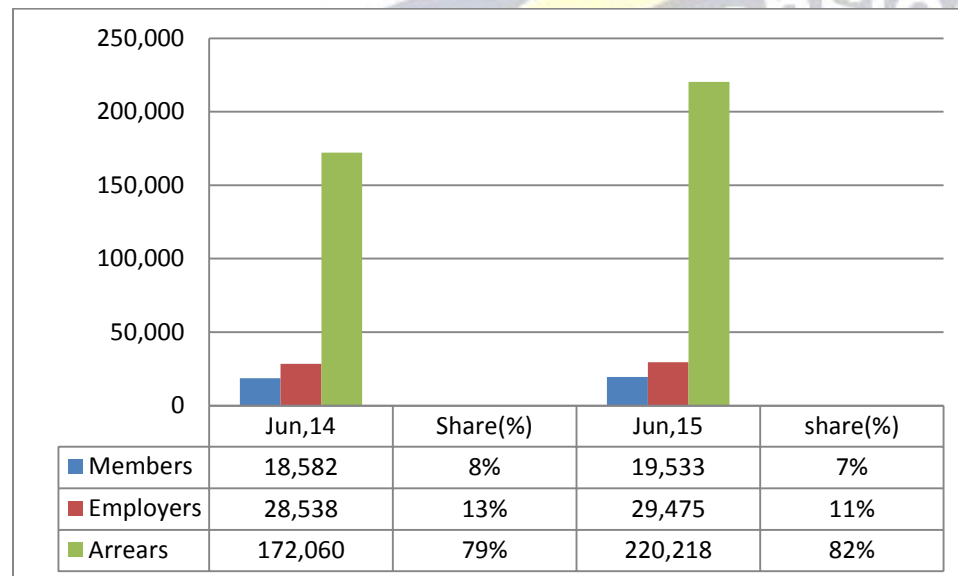
5.0 Contributions

For the current reporting period, employer contributions amounted to \$29million or 11% of total contributions (June 2014:13%or \$29million) whilst member contributions were \$20million or 7% compared to \$19million or 8% in June last year. However,\$220million or 82% of total contributions were in arrears (June 2014:79%or \$172million). The Commission continues to monitor repayment efforts by sponsoring employers (See Table 3and Figure 2, below).

Table 3: Contributions Statistics per Stand-alone Fund for the half year ended 30 June 2015

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Catering IPF	*	546	-	*	546	-	*	0	-	-	0	-	*	1,092	-
Clothing IPF	560	723	29%	784	1,104	41%	390	377	-3%	880	2,306	162%	2,614	4,510	73%
CAIPF	361	288	-20%	1,084	865	-20%	1,306	1,449	11%	10,665	22,355	110%	13,416	24,957	86%
CIPF	817	738	-10%	817	738	-10%	-	0	-	24	17	-29%	1,658	1,493	-10%
LAPF	3,762	3,876	3%	10,773	11,206	4%	-	0	-	113,588	135,165	19%	128,123	150,247	17%
MIPF	8,024	7,987	0%	8,031	7,986	-1%	80	615	669%	584	1,014	74%	16,719	17,602	5%
NRZ	1,749	1,675	-4%	0	0	-	-	0	-	17,920	496	-97%	19,669	2,171	-89%
ZB FHGPF	408	208	-49%	597	140	-77%	0	0	-	0	0	-	1,005	348	-65%
ZESA PF	1,708	1,783	4%	3,630	3,789	4%	2,850	8,436	196%	11,394	26,364	131%	19,582	40372	106%
GMB	201	190	-5%	867	822	-5%	542	667	23%	3,315	4,765	44%	4,925	6,444	31%
Motor Ind	711	1,111	56%	1,517	1,667	10%	496	1,348	172%	2,463	3,370	37%	5,187	7,496	45%
Specialised Bus	*	1	-	*	1	-	0	0	-	0	0	-	*	2	-
ZMDC	43	*	-	105	*	-	-	*	-	912	*	-	1,060	*	-
Unified Councils	*	407	-	*	611	-	*	561	-	*	8,058	-	*	9,637	-
Zimpapers	238	0	-100%	333	0	-100%	163	840	415%	4,488	2,015	-55%	5,222	2,855	-45%
Total	18,582	19,533	5%	28,538	29,475	3%	5,827	14,293	145%	166,233	205,925	24%	219,180	269,226	23%

Figure 2: Contributions Statistics for Stand-alone Funds for the half year ended 30 June 2015(\$000)



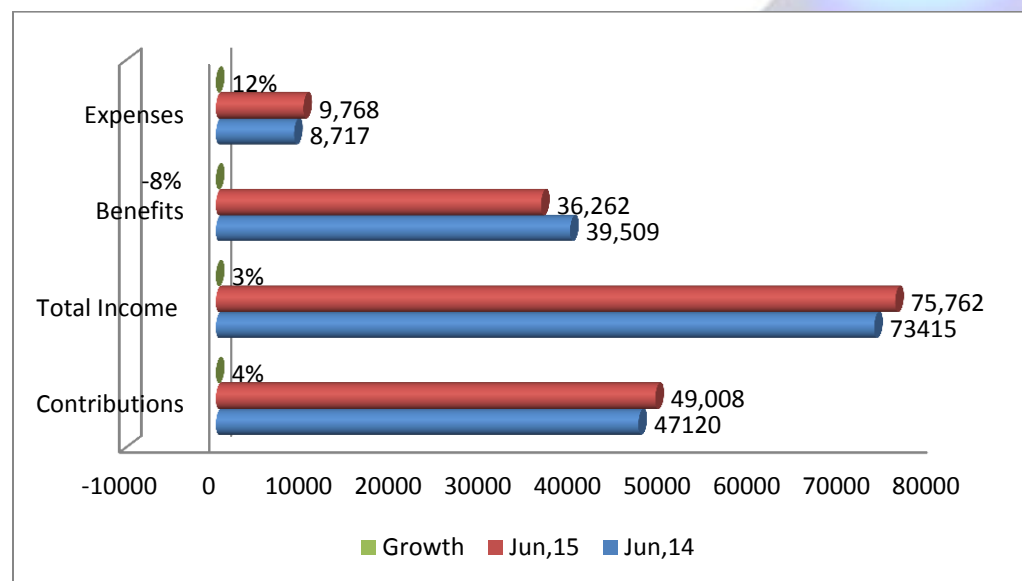
6.0 Income and Expenditure

For the period ended 30 June 2015, total received contributions grew by 4% from \$47 million last year to \$49million.Total expenses for the period grew from \$9million to \$10million resulting in the average expenses- to -contribution ratio increasing from 18% to 20% as at June 2015 and expense to total income of 13% (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand-alone Fund for the half year ended 30 June 2015 (\$'000)

Fund Name	Total Contributions(Excl arrears) \$0			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions) %			(Expenses/Total Income)%		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Catering IPF	*	1,092	-	*	1,609	-	*	470	-	*	407	-	*	37%	-	*	25%	-
Clothing IPF	1,344	1,827	36%	2,113	2,598	23%	307	205	-33%	728	711	-2%	54%	39%	-15%	34%	27%	-7%
CAIPF	1,445	1,153	-20%	6,379	6,796	7%	4,872	5,416	11%	1,301	1,278	-2%	90%	111%	21%	20%	19%	-1%
CIPF	1,634	1,476	-10%	1,666	1,498	-10%	487	636	31%	1,038	1,097	6%	64%	74%	10%	62%	73%	11%
LAPF	14,535	15,082	4%	18,967	19,522	3%	5,720	12,930	126%	1,009	1,126	12%	7%	7%	0%	5%	6%	1%
MIPF	16,055	15,973	-1%	21,794	22,294	2%	17,587	5,021	-71%	1,884	1,852	-2%	12%	12%	0%	9%	8%	-1%
NRZ	1,749	1,675	-4%	9,663	7,668	-21%	8,437	9,026	7%	1,085	1,041	-4%	62%	62%	0%	11%	14%	3%
ZB FHGPF	1,005	348	-65%	1,718	674	-61%	161	127	-21%	134	44	-67%	13%	13%	0%	8%	7%	-1%
ZESA PF	5,338	5,572	4%	5,626	7,201	28%	232	192	-17%	356	393	10%	7%	7%	0%	6%	5%	-1%
GMB	1,068	1,012	-5%	1,377	1,402	2%	-	157	-	291	260	-11%	27%	26%	-1%	21%	19%	-2%
Motor Ind	2,228	2,778	25%	3,054	3,286	8%	1,310	1,340	2%	620	644	4%	28%	23%	-5%	20%	20%	0%
Specialised B M P/F	*	2	-	*	3	-	*	0	-	*	0	-	*	0%	0%	*	0%	0%
ZMDC	148	*	-	277	*	-	92	*	-	19	*	-	13%	*	-13%	7%	*	-
Unified Authorities	*	1,018	-	*	1,081	-	*	183	-	*	710	-	*	70%	-	*	66%	-
Zimpapers	571	0	-100%	781	130	-83%	304	559	84%	252	205	-19%	44%	0%	-44%	32%	0%	-
Totals	47,120	49,008	4%	73,415	75,762	3%	39,509	36,262	-8%	8,717	9,768	12%	18%	20%	-1	12%	13%	1%

Figure 3: Income and Expenditure for Stand- alone Funds for the half year ended 30 June 2015(\$000)



7.0 Fund Assets

As at 30 June 2015, Standalone funds invested \$601million or 47% in properties(June 2014:\$578million or 48%), \$150 million or 12%in capital market securities (June 2014: \$171million or 14%), \$34million or 3% in money market investments(June 2014:\$54million or 4%),\$451million or 36% in other securities (June 2014:\$386million or 32%)whilst prescribed assets increased from 1% in the same period last year to 3%. (See Table 5 and Figure 4, below).

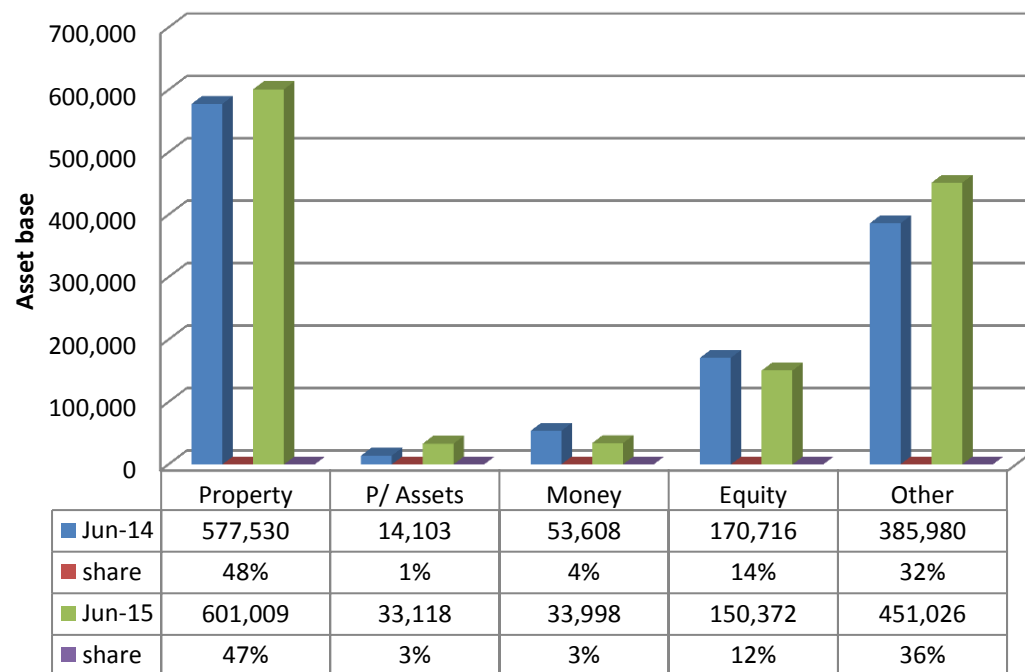
As a prudential measure, pension funds are required to match their investment portfolios to their liability make-up of their funds and abide to sound actuarial recommendations as advised from time to time.

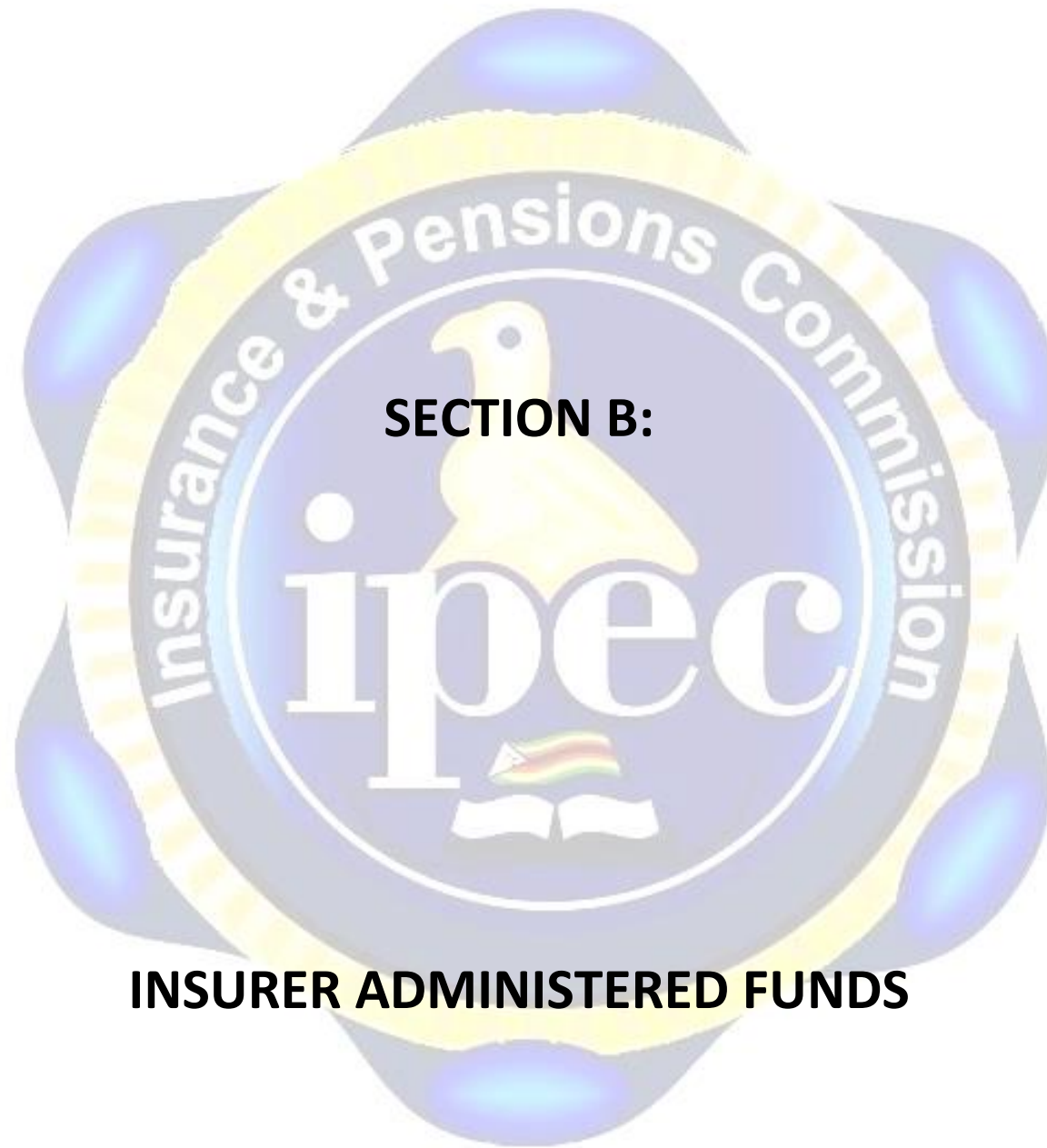
Table 5: Fund Assets At Market Values per Standalone Fund as at 30 June 2015

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Securities(\$000)			Capital Securities(\$000)			Other(\$000)			Total(\$000)		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Catering IPF	*	8,756	-	*	76	-	*	39	-	*	4,840	-	*	1,485	-	*	15,196	-

Clothing IPF	11,100	10,845	-2%	250	60	-76%	1,478	2,658	80%	4,226	3,238	-23%	1,320	2,377	80%	18,374	19,178	4%
CAIPF	85,221	84,921	0%	4,562	7,495	64%	7,572	5,731	-24%	21,402	15,889	-26%	30,237	44,667	48%	148,994	158,703	7%
CIPF	11,870	17,659	49%	122	363	198%	-	0	-	6,004	5,414	-10%	4,691	4,780	2%	22,687	28,216	24%
LAPF	82,165	82,165	0%	-	0	-	-	200	-	36,489	30,980	-15%	118,589	142,184	20%	237,243	255,529	8%
MIPF	102,096	102,336	0%	6,267	5,833	-7%	6,429	0	-100%	63,179	52,329	-17%	1,327	11,596	774%	179,298	172,094	-4%
NRZ	236,000	227,580	-4%	1,895	4,442	134%	16,764	5,951	-65%	17,080	13,076	-23%	169,910	176,187	4%	441,649	427,236	-3%
ZB FHGPF	4,021	4,876	21%	642	2,214	245%	7,775	5,934	-24%	6,716	5,616	-16%	4,000	19	100%	19,158	18,659	-3%
ZESA PF	23,347	31,278	34%	352	8,064	2191%	6,900	7,750	12%	-	4,666	-	41,006	48,421	18%	71,605	100,179	40%
GMB	9,478	9,478	0%	-	322	-	5	2	-60%	29	7	-76%	4,093	5,571	36%	13,605	15,380	13%
Motor Ind	8,337	8,796	6%	-	4,186	-	6,068	5,395	-11%	14,256	13,279	-7%	3,497	3,880	11%	32,158	35,536	11%
Specialised B M P/F	*	0	-	*	2	-	*	11	-	*	10	-	*	0	-	*	23	-
ZMDC	1,574	*	-	*	*	-	612	-	-100%	194	*	-	2,565	*	-	4,945	*	-
Unified Councils	*	7,744	-	*	54	-	*	312	-	*	9	-	*	7,747	-	*	15,866	-
Zimpapers	2,321	4,575	97%	13	7	-46%	5	15	200%	1,141	1,019	-11%	4,745	2,112	-55%	8,225	7,728	-6%
Totals	577,530	601,009	4%	14,103	33,118	135%	53,608	33,998	-37%	170,716	150,372	-12%	385,980	451,026	17%	1,201,937	1,269,523	6%

Figure 4: Fund Asset Values for Standalone Funds as at 30 June 2015\$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 3 players (See Table 1, below).

Table 1: Fund Administrators

Insurer	June 2015
First Mutual	5
Old Mutual	25
Altfin	*
Zimnat	2
TOTALS	32

*Returns Not Submitted

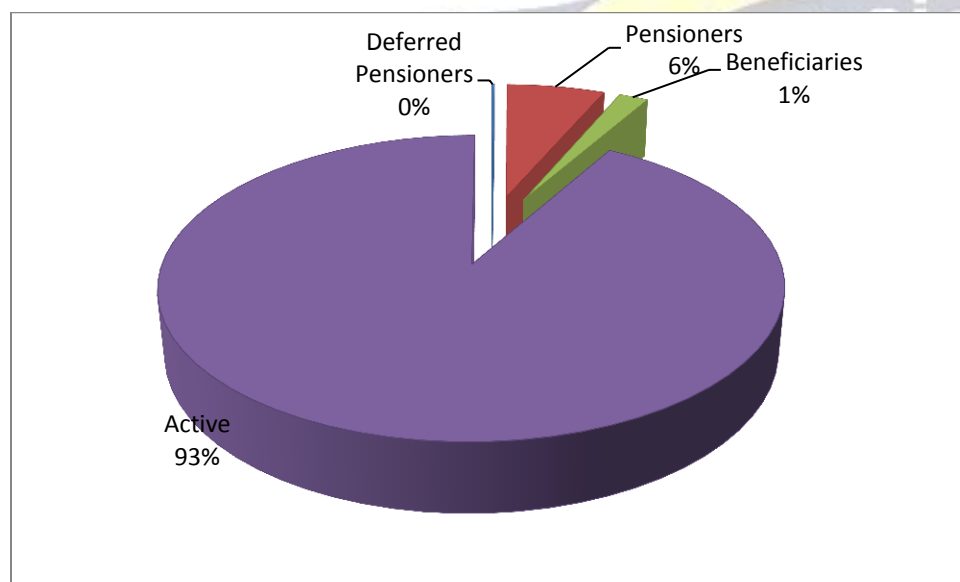
2.0 Pension Fund Membership

Total fund membership for insurer administered funds fell from 29000 as at June 2014 to 28 000 in June 2015. Active members numbered 27 000 or 93% (June 2014:27 000or 92%) whilst pensioners remained flat at 2 000 or 6 % (June 2014:2 000 or 6%) and the balance was mainly made up of widows and other dependents (See Table 2 and Figure 1, below).

Table2: Membership for Insurer Self-Administered Pension Funds for the half year ended 30 June2015

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
First Mutual	3,681	4,578	24%	0	0	0%	-	33	-	-	80	-	-109	-113	4%	3,681	4,691	27%
Old Mutual	22,395	21,823	-3%	43	43	0%	1,881	1,788	-5%	461	461	0%	-310	-643	107%	24,780	24,115	-3%
Altfin	430	*	-	-	*	0%	-	*	-	-	*	-	-4	*	-	430	*	-
Zimnat	240	218	-9%	0	0	0%	0	0	-	0	0	-	-23	0	-100%	240	218	-9%
Totals	26,746	26,619	0%	43	43	0%	1,881	1,821	-3%	461	541	17%	-446	-756	41%	29,131	28,484	-2%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the half year ended 30 June 2015



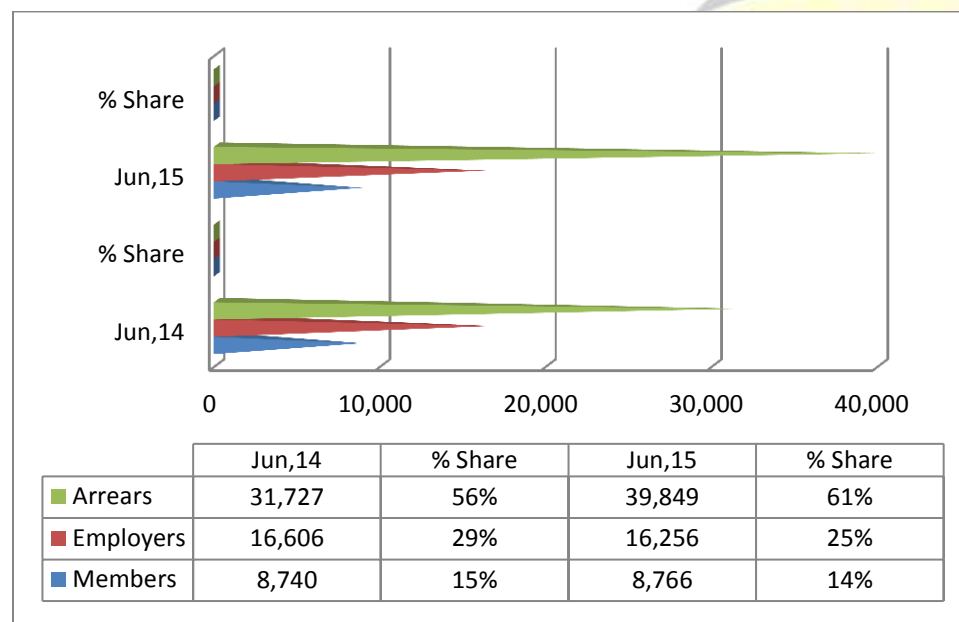
3.0 Contributions

As at the reporting date, total contributions collected by insurers were \$65million (June 2013:\$57million).Member employees paid\$9million or 14% (June 2014:\$9million or 15%) with employers contributing \$16million or 25 % (June 2014:\$17million or 29%).Liquidity pressure continued to manifest itself via contribution arrears which grew from \$32million or 54% to close the reporting period at \$40million or 61% of receivable contributions. The Commission continues to nurse the situation with a view to ensure arrears are funded fully by defaulting employers (See Table 3 and Figure 2below).

Table 3: Contribution Statistics for Insured Self-Administered Funds for the half year ended 30 June 2015

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-14	Jun-15	Growth	June 2014	June 2015	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
First Mutual	3,163	3,265	3%	4,515	4,645	3%	0	0	0	23,447	31,360	34%	31,125	39,270	26%
Old Mutual	5,298	5,365	1%	11,707	11,394	-3%	0	0	0	8,203	8,460	3%	25,208	25,219	0%
Altfin	136	*	0%	154	*	0%	29	*	0	48	*	0%	367	*	0%
Zimnat	143	136	-5%	230	217	-6%	-	-	0	29	29	0%	402	382	-5%
Totals	8,740	8,766	0%	16,606	16,256	-2%	29	0	0	31,727	39,849	26%	57,073	64,871	14%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the half year ended 30 June 2015 \$(000)



4.0 Income and Expenditure

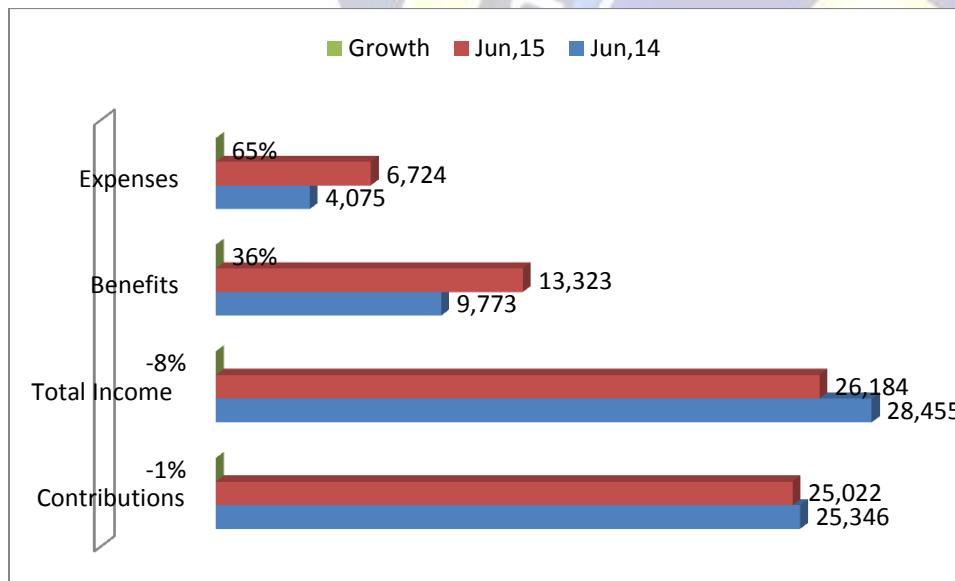
For the current reporting period, insurer administrators received \$25million in contributions the same as in the last period (June 2014: \$25million) whilst total expenditure was \$7million from \$4million, a 75% increase from the same period last year. The falling contribution volumes and investment incomes contributed to growing expense ratios. The Commission will continue to intervene in the industry on this challenge with the aim of clearly separating expenses that are incurred in the day to day operations from non-administrative expenses like investment losses and depreciation among other protectionist measures.

(See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the half year ended 30 June 2015

Insurer	Contributions(Excl arrears)\$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
F. Mutual	7,678	7,910	3%	8,181	7,946	-3%	3,065	5,706	86%	1,152	3,280	185%	15%	41%	26%	14%	41%	27%
Old Mutual	17,005	16,759	-1%	19,347	17,776	-8%	6,583	7,556	15%	2,791	3,241	16%	16%	19%	3%	14%	18%	4%
Altfin	290	*	0%	321	*	0%	26	*	0%	92	*	0%	32%	*	*	29%	*	*
Zimnat	373	353	-5%	606	462	-24%	99	61	-38%	40	203	408%	11%	58%	47%	7%	44%	37%
Totals	25,346	25,022	-1%	28,455	26,184	-8%	9,773	13,323	36%	4,075	6,724	65%	16%	27%	11%	14%	26%	12%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the half year ended 30 June 2015(\$000)



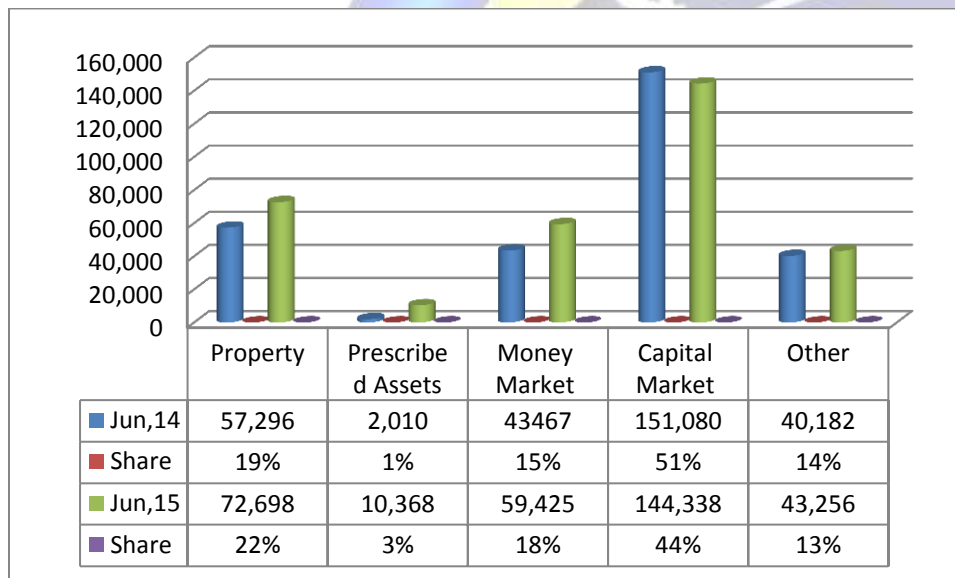
5.0 Fund Assets

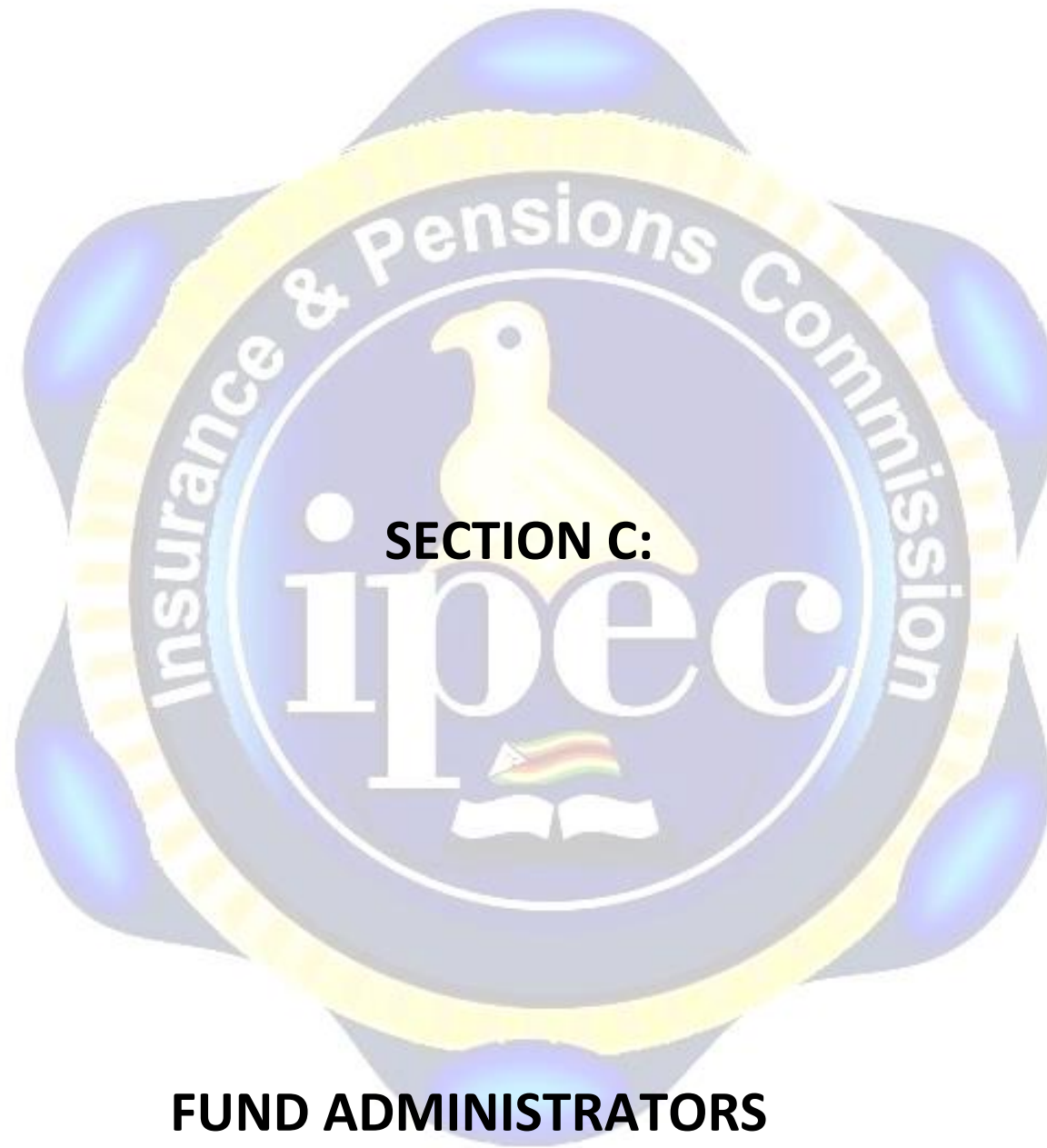
In addition to applying actuarial input, funds must continue to comply with stipulated investment guidelines (asset allocations) as well as align their investment portfolios with the maturity cycles of fund obligations. For the current review period, Insurer administered funds invested \$73 million or 22% in properties (June 2014: \$57 million or 19%), \$144 million or 44% in capital market securities (June 2014: \$151 million or 51%), money market securities - \$59 million or 18% (June 2014: \$43 million or 15%), \$43 million or 13% in other securities (June 2014: \$40 million or 14%) and prescribed assets grew to 3% from 1% in the previous period (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 30 June 2015

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
F.Mutual	4,160	14,975	260%	337	305	-9%	130	6,224	4688%	21,953	21,672	-1%	26,580	31,361	18%	53,160	74,537	40%
O.Mutual	52,870	57,723	9%	1,541	9,788	535%	41,397	52,354	26%	126,227	120,524	-5%	10,071	11,514	14%	232,106	251,903	9%
Altfin	-	*	0%	31	*	-	782	*	-	1,020	*	-	126	*	0%	1,959	*	0%
Zimnat	266	0	-100%	101	275	172%	1,158	847	-27%	1,880	2,142	14%	3,405	381	-89%	6,810	3,645	-46%
Totals	57,296	72,698	27%	2,010	10,368	416%	43,467	59,425	37%	151,080	144,338	-4%	40,182	43,256	8%	294,035	330,085	12%

Figure 4: Fund Assets for the half as at 30 June 2015\$(000)





SECTION C:

FUND ADMINISTRATORS



1.0 Fund Administrators

This report is based on 138 funds in the books of the listed administrators below (See Table 1).

Table 1: Fund Administrators

Fund Administrator	June 2015
Minerva Benefits Consulting	59
Comarton Consultants	30
Marsh	45
Zimbabwe Insurance Brokers	4
TOTALS	138

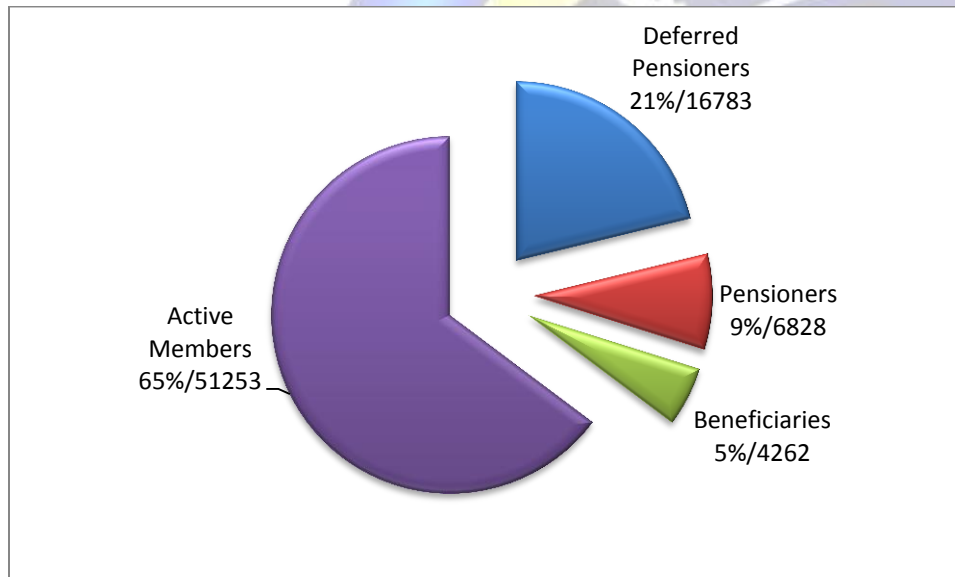
2.0 Pension Fund Membership

Total fund membership fell from 80 000 to 79 000, a reduction of 1% from the previous reporting period. Active members numbered 51 000 or 65 % (June 2014: 52 000 or 66%), pensioner population remained flat at 7 000 or 9% (June 2014: 7 000 or 9%), deferred members 17 000 or 21% (June 2014: 16 000 or 20%) and the balance were beneficiaries (See Table 2 and figure 1 below).

Table 2: Membership for Self-Administered Funds for the half year ended 30 June 2015

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Minerva	22,568	22,008	-2%	10,512	10,886	3%	1,557	1,615	4%	908	952	4%	-394	-644	63%	35,545	35,461	-
Comarton	13,843	14,573	5%	480	521	6%	2,141	2,148	0%	1,680	1,744	4%	-312	-187	-40%	18,144	18,986	5%
Marsh	16,029	14,221	-11%	4,647	5,376	16%	3,431	3,059	-11%	1,737	1,563	-10%	-311	-933	200%	25,844	24,219	-6%
ZIB	*	451	-	*	0	-	*	6	-	*	3	-	*	-5	-	*	460	-
Totals	52,440	51,253	-2%	15,639	16,783	7%	7,129	6,828	-4%	4,325	4,262	-1%	1,017	-1,769	73%	79,533	79,126	-1%

Figure 1: Membership for the half year ended 30 June 2015



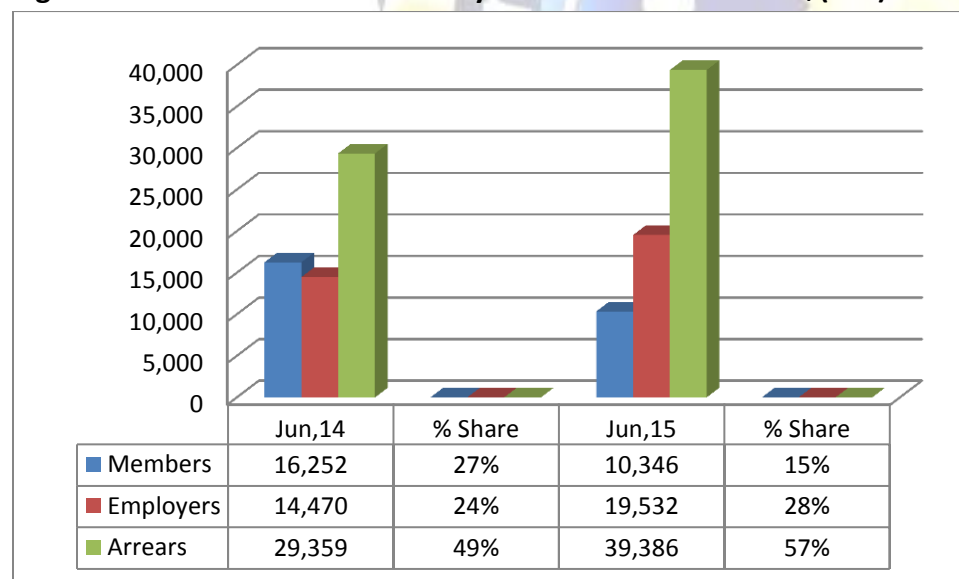
3.0 Contributions

For the quarter under review, total contributions collectable totaled \$69million (June 2014:\$60million) .Members paid \$10million or 15% (June 2014:\$16million or 27%), employers -\$20million or 28% (June 2014:\$14million or 24%)and 57% or \$39million was in contribution arrears. The Commission continues to monitor this challenge to restore parity with the law (See Table 3, below).

Table 3: Contributions Statistics for Self-Administered Funds for the half year ended 30 June 2015

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-14	Jun-15	Growth	June 2014	June 2015	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Minerva	2,941	5,762	96%	5,334	11,168	109%	2,063	3,683	79%	4,802	5,369	12%	15,140	25,982	72%
Comarton	6,222	1,268	-80%	2,091	2,718	30%	545	290	-47%	12,551	19,654	57%	21,409	23,930	12%
Marsh	7,089	3,276	-54%	7,045	5,556	-21%	*	0	0%	9,398	9,974	6%	23,532	18,806	-20%
ZIB	*	40	0%	*	90	-	*	0	0%	*	416	0%	*	546	0%
Total	16,252	10,346	-36%	14,470	19,532	35%	2,608	3,973	52%	26,751	35,413	32%	60,081	69,264	15%

Figure 2: Contributions for the half year ended 30 June 2015 \$(000)



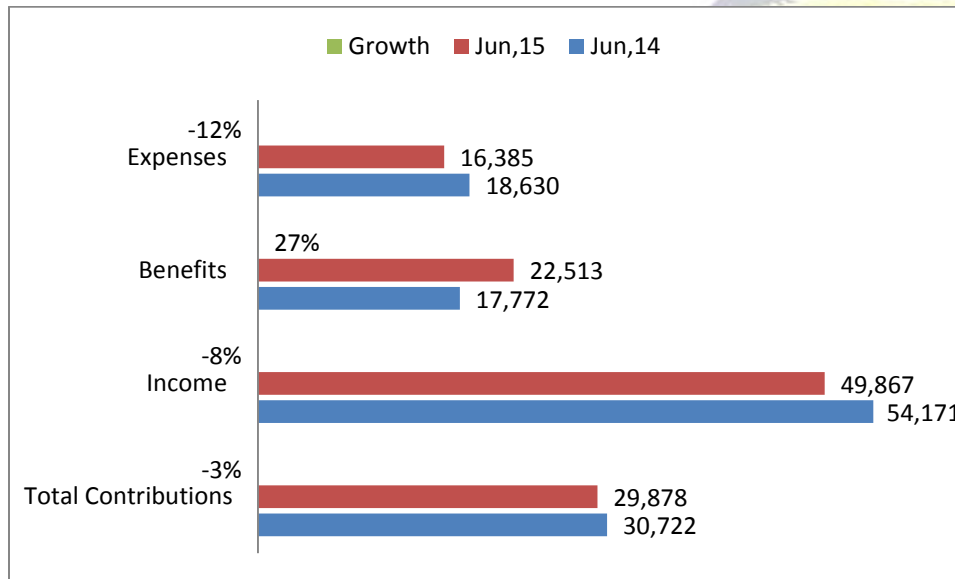
4.0 Income and Expenditure

As at 30 June 2015, fund administrators realized \$30million in collected contributions (June 2014:\$31million).Total income fell by 9% from \$54 million in the last reporting period to \$49million, whilst total expenditure (net of benefits paid) was \$16million (June 2014:\$19million). The expenses- to- contributions and expenses- to- income ratios were 45% and 27% (June 2014:61% and 34%).As highlighted earlier, the Commission is working with Fund administrators to ensure that expenditures are at their minimum and that the administration bill is not overstated (See the Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the half year ended 30 June2015

Fund Name	Total Contributions(Excl arrears)(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth
Minerva	8,275	16,930	105%	21,441	29,103	36%	7,811	14,442	85%	11,074	8,610	-22%	134%	51%	-83%	52%	30%	-22%
Comarton	8,313	3,986	-52%	13,358	6,621	-50%	1,934	2,368	22%	2,480	2,281	-8%	30%	57%	27%	19%	34%	15%
Marsh	14,134	8,832	-38%	19,372	14,009	-28%	8,027	5,703	-29%	5,076	5,488	8%	36%	62%	26%	26%	39%	13%
ZIB	*	130	-	*	134	-	*	0	-	*	6	-	-	5%	-	-	4%	-
Totals	30,722	29,878	-3%	54,171	49,867	-8%	17,772	22,513	27%	18,630	16,385	-12%	61%	45%	-16%	34%	27%	-7%

Figure 3: Income and Expenditure \$(000)



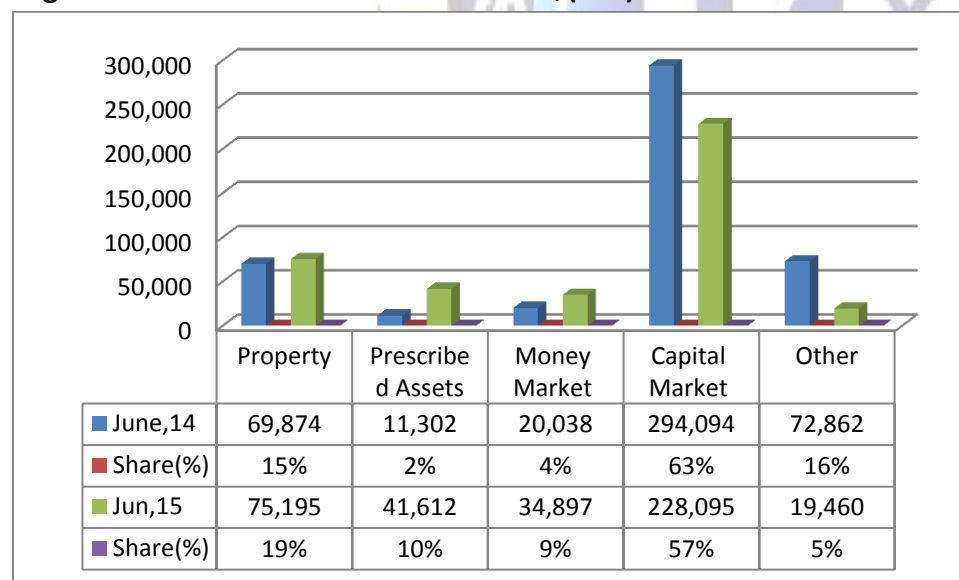
5.0 Fund Assets

For the current reporting period, administrators invested \$75million or 19% in properties (June 2014; \$70million or 15%), \$228million or 57% in capital market securities (June 2014: \$294million or 63%), money market securities -\$35million or 9%(June 2014: -\$20million or 4%), 5% or \$19million in other securities (June 2014: -\$73million or 16%), and the balance of 10% in was in prescribed assets.

Table 5: Fund Asset Statistics at Market Value for Self-Administered Funds as at 30 June 2015

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	Jun-14	Jun-15	Growth	June 2014	June 2015	Growth
Minerva	23,569	25,920	10%	6,695	23,942	258%	-	0	0%	146,076	175,628	20%	31,515	31,007	-2%	207,855	256,497	23%
Comarton	-	3,456	-	667	6,252	837%	20,038	16,818	-16%	62,194	28,934	-53%	-	27,990	0%	82,899	83,450	1%
Marsh	46,305	45,819	-1%	3,940	11,373	189%	-	18,022	0%	85,824	73,792	-14%	41,347	24,091	-42%	177,416	173,097	0%
ZIB	*	0	-	*	45	*	*	57	0%	*	264	0%	*	416	0%	*	782	0%
Totals	69,874	75,195	8%	11,302	41,612	268%	20,038	34,897	74%	294,094	228,095	-5%	72,862	19,460	15%	468,170	340,729	-27%

Figure 4: Fund Assets as at 30 June 2015\$(000)



6.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 6: Issued Acts, Circulars and Statutory Instruments for the year ended 30 June 2015

Details	Subject Matter	Issue date
Circular No.1 of 2015	Clarification on The Implementation of Circular 2 of 2013 , Circular 1 of 2014 And Circular 8 of 2014	20 January 2015

Table 7: Prescribed Asset Instrument Approved For the year ended 30 June 2015

Details	Value	Approval Date
Budiriro Housing Project	Sixty Two Million and Eight Hundred Thousand Dollars	16 March 2015

Conclusion

The report invariably underlines the urgent need for all stakeholders to address the challenges of growing arrear contributions, ballooning expense ratios especially by professional fund administrators and near non-subscription to government paper.

